Governments use the surplus in the Public Account to borrow from it. For example, the surplus in the National Small Savings Fund (NSSF), an account in the Public Account of India, is used to subscribe to the special securities issued by the Government of India. Even after such deployment, some more cash balance remains available in the Public Account and is used by the government as its cash balance.

The debt/borrowings/liabilities raised thorough the CFI with or without the security of the CFI is the public debt. These debts/borrowings/liabilities may be raised domestically or abroad. They may be raised by issuing securities/debt to an account maintained in the Public Account like NSSF. These debts and liabilities constitute the public debt of India. These liabilities are accounted for as public debt in the Budget, Accounts and other publications of the government.

There are two other kinds of public debt, which, however, are not accounted as public debt.

The first kind of liabilities arise when the balances in the accounts maintained in the Public Account are used to provide loans to government agencies, and thereby not accounting for such loans in the CFI, to fund the expenditure of the government.

The accumulations in NSSF are used to fund the government's expenditure (food subsidy) by giving loans to organizations like FCI.

The other kind of real liability is when the account used to borrow funds is accounted for neither in the CFI nor the Public Account but some entity outside the government. When the government used Housing and Urban Development Corporation (HUDCO) to raise loans to pay for affordable housing subsidies programme or National Bank for Agriculture and Rural Development (NABARD) to provide finance to a society created outside the government system to finance subsidy support for a rural housing programme, these liabilities do not figure in either the CFI or the Public Account. These loans raised were fully serviced by the government. The